

In the figure, the A pattern forms at the top of a long uptrend that began in November 1999 (not shown). The pattern works just fine. It's a valid three falling peaks pattern and price declines like it's supposed to.

The B pattern is farther down the price chain, so it must be closer to the ultimate low. It is, and price breaks out downward at E, falling just 2% below D, and then begins climbing. The climb to F measures a whopping 58%.

If you were to look back in time, you would see a large zone of support extending back as far as 1995. That support is not as clear as it could be, but the nearness in price of the October bottom and point D suggests an effective support zone. The stock tried to pierce the zone for the third time (at E) and failed. Pattern B failed as a three falling peaks pattern (it's a valid chart pattern, but it didn't perform up to expectations).